

FIRST LESSONS IN THE SCHOOL OF EXPERIENCE

As the summer of 1928 approached and my first year in the business school came to an end, an opportunity arose which seemed to me too good to pass up. In contrast to the hundreds of students that are enrolled each year in this school today, my class, being only the third in the graduate school's history, contained nineteen students. The graduating class one year ahead of me contained only nine. Just two of these nine were trained in finance. In that day of great stock market ferment, both were snapped up by New York-based investment trusts. At the last minute, an independent San Francisco bank, which years later was acquired by the Crocker National Bank of that city, sent down to the school a request for a graduate trained in investments. The school was anxious not to pass up this opportunity because if their representative merited the approval of the bank, it could be the forerunner of many opportunities for placing future graduates in the years to come. However, they had no graduate to send. It was not easy to do, but when I heard of this opportunity, I finally persuaded the school to send me with the thought that if I were to make good, I would stay there. If I could not fill the job, I would come back and take second-year courses, with the bank realizing that the school had made no pretense of sending them a completely trained student.

Security analysts in those pre-crash days were called statisticians. It was three successive years of sensationally falling stock prices that were to occur just a short time ahead that caused the work of Wall Street's statisticians to fall into such disrepute that the name was changed to security analysts.

I found that I was to be the statistician for the investment banking end of the bank. In those days, there was no legal barrier to banks being in the brokerage or investment banking business. The work I was assigned to do was extremely simple. In my opinion, it was also intellectually dishonest. The investment arm of the bank was chiefly engaged in selling high interest rate, new issues of bonds on which they made quite sizable commissions as part of underwriting syndicates. No attempt was made to evaluate the